MERTON DAILY BRIEF - Tuesday, June 10, 2026

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HEADLINE OF THE DAY

*US inflation at 4.2% YoY - highest in 3 years - WTI crude at $90.78 (+sharp rise) on US-Iran strikes, Trump promises "more attacks," Kevin Warsh takes office at the Fed amid major geopolitical crisis. S&P500 corrects to 7331 (-2.9% vs previous close), VIX at 21.61, gold surges to $4144. BoC decides today.**

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GLOBAL SENTIMENT

Indicator	Value	Signal
VIX	21.61	Elevated - fear present
DXY	99.975	? Neutral - dollar stable
Gold	$4144.9	Strong rise - safe haven
US 10Y	4.526%	Rising - inflation fears
US 30Y	5.007%	Psychological 5% threshold
S&P 500	7331.64	-2.9% vs 7553 prev
NASDAQ	25440.0	? Relatively resilient
WTI	$90.78	Explosion - Iran risk
Brent	$93.66	Following WTI
BTC	$62,561	? Stable - no flight to crypto
Copper	$6.268	? Neutral
Silver	$64.66	? Gold-silver decoupled short-

* Read:** The market is in classic "risk-off" mode but with a twist: oil and gold are rising together (stagflation fear), US yields are exploding higher (30Y > 5%), and the dollar isn't benefiting from safety - it's flat at 99.97. This signals investors pricing a scenario where imported inflation (oil) forces the Fed to stay hawkish, weighing on equities. VIX at 21.61 isn't panic yet but the trajectory is clearly upward. BTC at $62K isn't playing its hedge role - it's simply sidelined.

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MACRO - WHAT MOVED

UNITED STATES

CPI May at 4.2% YoY (consensus 4.0%, previous 3.8%) - highest in 3 years. Core at 2.9% YoY as expected. Month-over-month: 0.5% (consensus 0.4%). These figures are a blow to the Fed and to Trump who demands rate cuts.

WTI at $90.78 and Brent at $93.66 - sharply higher after US strikes on Iran and Trump's threat to "hit harder." Strait of Hormuz is partially blocked, Iranian exports disrupted. China importing half as much oil.

Kevin Warsh takes office as Fed Chair - replaces Powell. First hire: a Project 2025 author. Warsh is seen as more dovish than Powell but faces an immediate dilemma: rising inflation and surging oil. He already has internal "family fights" over rate cuts.

Job openings at 7.6M in April - highest in 2 years. Labor market remains tight, complicating the rate cut narrative. Bond traders maintain bets on a 2026 hike.

Mortgage applications +10.8% - technical rebound after rates stabilized at 6.6%. Housing market remains under pressure.

Amazon borrows $17.5B to finance AI - the "borrowing frenzy" accelerates. Blackstone returns to IPO, Anthropic partnership.

Trump names Bill Pulte as acting intelligence chief - replaces Gabbard. Increasingly political signals from Washington.

EUROPE

ECB: Buch speech today - as energy takes "center stage" (CNBC headline). ECB facing dilemma: rising energy inflation vs fragile growth.

Germany: 10Y Bund at 3.06% - down from previous 3.16%. Intra-European flight to quality.

Italy: Industrial production +0.5% MoM (vs -0.1% expected) - positive surprise. YoY at +1.3%. 12-month BOT at 2.695%.

EU Budget: watchdog criticizes fiscal leeway for Meloni and others - tension over European fiscal rules.

Commerzbank: concerns over UniCredit bid - European banking sector remains fragile.

CHINA

China inflation May: 1.2% YoY (consensus 1.3%, prev 1.2%) - still very low. PPI at 3.9% YoY (vs 2.8% prev) - improvement but reflects base effects. China remains in deflationary territory on consumer side.

Chinese oil imports: -50% - Iran conflict severely disrupting flows. China helping keep prices under $100 by releasing reserves, but "it won't last" (analysts).

Vehicle sales May: -2.1% YoY - improvement from -2.5% April but still negative.

AI talent poaching - China actively recruiting AI researchers from US, targeting next "super-app."

UNITED KINGDOM

UK assets: potential underpricing of Burnham win over Starmer (analysts). UK political instability with anti-migrant protests linked to Musk.

UK unrest - social tensions rising, Musk's role in anti-migrant protests debated.

EMERGING / MISCELLANEOUS

BoC (Bank of Canada): decision today - consensus hold at 2.25%. BoC held at 2.25% with "policy dilemma" warning. Canadian economy weak in Q1.

South Africa: SARB sees another rate hike this year - due to war (oil).

Brazil: central bank seeks autonomy to protect Pix - political tension.

Argentina: peso drops most in 8 weeks - post-election selloff.

India: Modi warns of severe risks from Iran war - calls for reduced fuel consumption and gold purchases. India hikes import duties on gold and silver.

Japan: 30Y JGB at 3.860% - rising. Yen remains under pressure (USDJPY at 160.48).

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GEOPOLITICS

HOT

US strikes Iran after helicopter downed - Trump promises "more strikes" and says Iran will "pay the price" for failed peace talks. Tehran targets Bahrain, Kuwait, and Jordan in retaliation. Ceasefire broken.

Strait of Hormuz partially blocked - oil exports through strait disrupted. Iraq and UAE racing to build alternative pipelines. US Energy Secretary says ship traffic increasing slightly.

Iran censured by IAEA - over missing uranium stockpile. Parallel nuclear escalation.

WATCH

Trump requests Spy Law extension - amid controversial Pulte nomination. Civil liberties implications.

Trump and Modi: first meeting since Pakistan fallout - important diplomatic signal.

Russia threatens Armenia over CSTO membership - post-Soviet tension.

Bill Gates before Congress - Epstein ties called "error in judgment."

POSITIVE

Cuba: largest US fuel shipment since embargo - rare détente signal.

Finland/Stubb: EU should expand to 40 states, including Canada - ambitious vision.

Trump fast-tracks psychedelic drugs for mental healthcare - unexpected reversal.

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FX FOCUS

Pair	Level	Signal
EUR/USD	1.1551	? Neutral - range
GBP/USD	1.3389	? Neutral
USD/JPY	160.48	Weak yen - BoJ powerless
USD/CHF	0.7983	? Stable franc

* Analysis:** The dollar is surprisingly flat (DXY 99.97) despite the inflation shock and rising yields. This is because the market is simultaneously pricing: (1) a Fed forced to be hawkish by inflation = bullish for dollar, BUT (2) Trump demanding rate cuts and appointing a dovish Fed chair = bearish. These two forces cancel out. The yen is the big loser (160.48) because the BoJ cannot tighten with energy rising. The euro is supported by the fact that the ECB may need to be more hawkish than expected if energy inflation transmits.

* Pair to watch:** `USD/JPY` - if it breaks above 162, BoJ intervention likely. Key support at 158.

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COMMODITIES

Oil

WTI at **$90.78** and Brent at **$93.66** - sharply higher on Iran strikes and Strait of Hormuz closure threat. US inventories fell sharply (-7.228M barrels EIA). Trump says Iran will "pay the price." Rystad warns a "humongous" surplus is possible in 2027 if conflict resolves. China releasing strategic reserves to keep prices under $100.

Gold

Gold at **$4144.9** - surging on geopolitical risk and inflation. Paradox: traders increasing Fed hike bets (normally bearish for gold) but gold rises anyway because refuge demand dominates. India hikes gold import duties to protect rupee.

Silver/Copper

Silver at **$64.66** - following gold but with less strength. Copper at **$6.268** - neutral, Chinese demand remains weak.

Soft

No major moves reported. Focus entirely on energy and precious metals.

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TODAY'S CALENDAR (June 10, 2026)

Time (CET)	Country	Event	Consensus	Previous	Impact
01:30		Building Permits MoM	-3.4%	-10.5%	?
01:30		Inflation Rate YoY	1.3%	1.2%	
01:30		PPI YoY	3.9%	2.8%	?
08:00		ECB Buch Speech	-	-	?
08:00		Industrial Production MoM	-0.1%	0.6%	
09:30		10Y Bund Auction	-	3.16%	?
11:00		MBA Mortgage Applications	-	-2.5%	

12:30	****	**CPI YoY**	**4.2%**	**3.8%**	****
12:30	****	**Core CPI YoY**	**2.9%**	**2.8%**	****
12:30	****	**CPI MoM**	**0.4%**	**0.6%**	****
13:45	****	**BoC Rate Decision**	**2.25%**	**2.25%**	****
14:30		BoC Press Conference	-	-	?
14:30	****	**EIA Crude Stocks**	**-4M**	**-7.974M**	****

Week Ahead:
Wednesday 11: UK GDP, US PPI
Thursday 12: US PPI final, ECB decision, US Jobless Claims
Friday 13: US University of Michigan Sentiment, China trade data

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DEEP MACRO THEME

*The stagflation trap of 2026.**

We are entering a scenario the market had not priced: an energy supply shock (Iran/Hormuz) that arrives AT THE SAME TIME as US inflation was already reaccelerating (CPI 4.2%). Normally, a Middle East conflict pushes the dollar up and equities down - that's what we're seeing. But the unique twist of 2026 is that the US president is actively demanding rate cuts FROM THE FED WHILE inflation is accelerating. Kevin Warsh, the new chair, is caught between the hammer (inflation at 4.2% + oil at $90) and the anvil (Trump wanting immediate cuts).

The result: bond traders are betting on a HIKE in 2026 (Yardeni says the Fed will have to raise rates in July to appease "bond vigilantes"), while equity traders are pricing a soft landing. These two positions cannot coexist. Either inflation forces the Fed to tighten (bearish for everything), or the Fed yields to Trump and cuts (bullish short-term but inflationary long-term). The 30Y at 5% says bonds are voting for the first scenario.

The real question: is oil at $90 temporary (geopolitical spike) or structural (Hormuz closed durably)? If it's structural, we're talking $100-120 per barrel, which means inflation >5% in the US and a global recession. The market hasn't yet priced this scenario - but it's starting to approach it.

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CONSENSUS VS REALITY - THE ALPHA

What the market is pricing:

1. **"Inflation will recede in H2"** - WRONG. With oil at $90+, base effects will worsen in June/July. May CPI is the "high-water mark" according to JPMorgan - but they're wrong if oil stays high.

2. **"The Fed will cut 2 times in 2026"** - VERY DOUBTFUL. With CPI at 4.2% and oil rising, a hike is more likely than a cut. The market is still pricing 50bps of cuts - that's fiction.

3. **"The Iran conflict will resolve quickly"** - UNCERTAIN. Polymarket gives only 4.35% chance of a permanent peace deal before June 15. Trump says he wants peace but strikes anyway. The equity market is not pricing a prolonged escalation.

4. **"The dollar will rise on risk-off"** - ALREADY WRONG. DXY is flat at 99.97. The dollar is no longer playing its safe haven role because the Fed is seen as politically compromised.

5. **"Gold will correct"** - WRONG. Gold at $4144 is rising despite Fed hike bets. Refuge demand + inflation hedge is too strong.

6. **"Oil will fall back below $80"** - POSSIBLE but unlikely short-term. As long as the Strait of Hormuz is threatened, the geopolitical premium remains.

7. **"S&P earnings will save the market"** - To be verified. Q2 earnings season approaches. With a strong dollar and rising energy costs, margins will suffer.

The Alpha:

1. **Long Oil / Short S&P500** - Oil has more upside ($$100 if Hormuz closes) than the S&P has

immediate downside. Ratio trade: long CL=F, short ES=F. Invalidation: Iran peace deal within 2 weeks.

2. **Long Gold / Short US 2Y** - Gold rises (inflation + geopolitics) while 2Y will rise if the market prices a hike. But gold is more resilient. Entry: GC=F long, ZT=F short. Invalidation: June CPI <0.3% MoM.

3. **Long USD/JPY on dip toward 158** - The yen is the most vulnerable currency to global tightening. If BoJ intervenes at 162, buy the dip. Target: 162+. Stop: 157.50.

4. **Short EUR/GBP** - The UK has more political risk (Burnham vs Starmer) than the eurozone. The ECB is more hawkish than the BoE. Entry: 0.8630. Target: 0.8500.

5. **Long Volatility (VIX calls)** - VIX at 21.61 is undervalued for an environment with CPI 4.2%, oil $90, and open war in the Middle East. Buy July VIX 25 calls. Invalidation: VIX <18.

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MERTON'S TAKE

We are in a **regime transition** - and that's where the biggest profits (and biggest losses) are made.

The dominant narrative of the last 6 months was "soft landing + Fed cuts + risk-on." That narrative is **dead** today. CPI at 4.2% combined with oil at $90 and open war in the Middle East changes everything. The Fed cannot cut in this environment - and if it does, the bond market will punish it (30Y > 5.5%, 10Y > 5%).

Kevin Warsh arrives at the Fed in the worst possible situation: a president demanding cuts, accelerating inflation, and a watching Congress. His first decision (July FOMC) will be the real test. If he cuts, it's a hawkish signal for long-term inflation (dollar down, gold up, oil up). If he holds, Trump will publicly destroy him and the equity market will correct further.

*My conviction:** The S&P500 will test 7000-7100 in the next 2-4 weeks. Gold will test $4300. Oil will test $100. VIX will head toward 25-28. The dollar will finally wake up to 102-103 (DXY) when the market realizes the Fed cannot cut.

*Positioning:** Long gold ($4144 entry, target $4300, stop $4000). Long oil ($90 entry, target $100, stop $85). Short S&P via July 7200 puts. Long USD/JPY on dips. High cash (30%+). No duration - yields are going higher.

*What to avoid:** Growth/tech stocks (rate-sensitive), long-duration bonds, the yen, and any "soft landing" trade.

*The wildcard:** If Trump announces a surprise peace deal with Iran (he loves spectacular deals), everything reverses - oil -10%, S&P +3%, gold -$200. But Polymarket gives 95% odds it won't happen. I don't bet against Trump, but I don't bet on him either.

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SOURCES CONSULTED

Yahoo Finance API - Real-time prices: S&P500, VIX, NASDAQ, Gold, WTI, Brent, BTC, Copper, Silver, US10Y, US30Y, DXY, EURUSD, GBPUSD, USDJPY, USDCHF
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CNBC (Fed) - Warsh Hires, Powell Stress Test, Bowman Warns Against Hiking, Warsh Sworn In
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Trading Economics Calendar - US CPI, BoC Decision, China Inflation, EIA Crude Stocks

Polymarket API - Iran Peace Deal 4.35%, World Cup markets

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